Type MS · Choosing between straight line and reducing balance, and changing method

Answer 1 of 8 · Question 18 part d · 5 marks

2025 JUN · Paper 01 · extract 1 of 3 · find part d in this mark scheme extract

18(a) **Award marks as indicated.**

Transaction	Capital Expenditure	Revenue Expenditure
Legal costs on purchase of business premises	✓**(1)**	
Bank loan interest on purchase of business premises	✓**(1)**	
Delivery cost of new machinery	✓**(1)**	
Insurance of new machinery		✓**(1)**

(4)

Question Number	Answer	Mark
18(b)	**Award mark as indicated.** $18 400 **(1).**	**(1)**

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 1 of 8 · Question 18 part d · 5 marks

2025 JUN · Paper 01 · extract 2 of 3 · find part d in this mark scheme extract

Question Number	Answer	Mark
18(c)	**Award marks for details and amounts in combination.**	**(5)**

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$
2024 Jun 30	Disposal	4 000 **(1)**	2024 Jan 1	Balance b/d	6 400 **(1)**
2024 Dec 31	Balance c/d	5 840	2024 Dec 31	Income statement	3 440 **(1)**
		9 840			9 840
			2025 Jan 1	Balance b/d	5 840 **(1of)**

Disposal Account

Date	Details	$	Date	Details	$
2024 Jun 30	Machinery Cost	8 000	2024 Jun 30	Machinery Provision for Depreciation	4 000
Dec 31	Income statement	600 **(1of)**		Bank	4 600
		8 600			8 600

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 1 of 8 · Question 18 part d · 5 marks

2025 JUN · Paper 01 · extract 3 of 3 · find part d in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award up to 2 marks for comments on each method. Award 1 mark for advice.** **Sample answer** Continuing to use the reducing balance method will reduce the charge for depreciation after the first year **(1)** which will result in a higher profit for the following years **(1).** Changing to use the straight-line method will result in the same depreciation charge each year of ownership **(1)** resulting in lower profits and therefore a lower net asset value of the business **(1).** I will advise Shauna not to change the method **(1).** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 2 of 8 · Question 2 part d · 5 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 3 · find part d in this mark scheme extract

2(a) **Award marks as indicated**

Item	Manufacturing account	Income statement	Statement of financial position
Accumulated depreciation – plant and machinery			✓ (1)
Carriage outwards		✓ (1)	
Factory supervisor's salary	✓ (1)		
Purchase of finished goods		✓ (1)	
Returns outwards	✓ (1)		
Royalties paid	✓ (1)		

(6)

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 2 of 8 · Question 2 part d · 5 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 3 · find part d in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(b)</td><td>Award marks as indicated.
Award one mark for all correct labels.

Dumadi
Manufacturing account for the year ended 31 March 2019

<table>
<tr><th></th><th>$</th><th>$</th></tr>
<tr><td>Prime cost</td><td></td><td>274 410</td></tr>
<tr><td>Overhead costs</td><td></td><td></td></tr>
<tr><td>Indirect factory wages</td><td>16 320(1)</td><td></td></tr>
<tr><td>Light, heat and power</td><td>9 620 (1)</td><td></td></tr>
<tr><td>Rent, rates and insurance</td><td>25 200(1)</td><td></td></tr>
<tr><td>Depreciation – plant and machinery</td><td>9 400(1)</td><td></td></tr>
<tr><td></td><td></td><td>60 540</td></tr>
<tr><td></td><td></td><td>344 950
(1of)</td></tr>
<tr><td>Add: opening work in progress</td><td>3 600(1)</td><td></td></tr>
<tr><td>Less: closing work in progress</td><td>(3 200)(1)</td><td>400</td></tr>
<tr><td>Production cost / cost of production</td><td></td><td>335 350
(1of)</td></tr>
</table></td><td>(9)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Increase</th><th>Decrease</th><th>No effect</th></tr>
<tr><td>Purchase of plant and machinery</td><td></td><td></td><td>✓ (1)</td></tr>
<tr><td>Increase in the allowance for doubtful debts</td><td></td><td>✓ (1)</td><td></td></tr>
<tr><td>Increase in the closing inventory of finished goods</td><td>✓ (1)</td><td></td><td></td></tr>
</table></td><td>(3)</td></tr>
</table>

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 2 of 8 · Question 2 part d · 5 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 3 · find part d in this mark scheme extract

Question number	Answer	Mark
2(d)	**Award up to 4 marks for comments and 1 mark for a conclusion.** **Sample answer** Dumadi uses the reducing balance method to depreciate his plant and machinery as this is the most suitable method for this type of asset **(1).** This method may have been chosen because his plant and machinery may become out of date quickly **(1)** or the asset may have lower maintenance cost in the early years **(1)** or there may be greater benefits to the business from the use of the asset in the early years **(1).** If Dumadi had chosen the straight line method, the same amount of depreciation would have been charged each year **(1).**	**(5)**

Question number	Answer	Mark
2(e)	**Award marks as indicated. Maximum 2 marks.** Wear and tear **(1)** Obsolescence **(1)** Passage of time **(1)** Depletion **(1)** **Allow other appropriate responses**	**(2)**

(TOTAL FOR QUESTION 2 = 25 marks)

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 3 of 8 · Question 18 part d · 5 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 2 · find part d in this mark scheme extract

Question Number	Answer	Mark
18 (a)	**Award 1 mark as indicated.** $1 680 **(1)**	**(1)**

Question Number	Answer	Mark
18 (b)	**Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.**	**(5)**

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$
2019 June 30	Asset disposal	1 680 **(1of)**	2019 Jan 1	Balance b/d	9 000 **(1)**
Dec 31	Balance c/d	10 080	Dec 31	Income statement	2 760 **(1)**
		11 760			11 760
			2020 Jan 1	Balance b/d	10 080 **(1of)**

Question Number	Answer	Mark
18 (c)	**Award marks for each correct date, details and amounts in combination.**	**(4)**

Asset Disposal Account

Date	Details	$	Date	Details	$
2019 June 30	Machinery – cost / Journal	4 200 **(1)**	2019 June 30	Provision for depreciation – machinery	1 680 **(1of)**
			June 30	Cash book	2 000 **(1)**
			Dec 31	Income statement	520 **(1of)**
		4 200			4 200

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 3 of 8 · Question 18 part d · 5 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 2 · find part d in this mark scheme extract

Question Number	Answer	Mark
18 (d)	**Award 2 marks for comments related to the effect on income statement and 2 marks for the effect on the statement of financial position. Award 1 mark for conclusion.** **For example** Changing the depreciation method to reducing balance will reduce the charge for depreciation **(1)** which will result in a higher profit for the year **(1).** The change will result in the carrying value of machinery being higher **(1)** and therefore the net asset value also being higher **(1)**. Overall, the change will be beneficial but must adhere to the consistency concept **(1).** **Accept any other appropriate responses.**	**(5)**

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 4 of 8 · Question 2 part d.ii · 3 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part d.ii in this mark scheme extract

2(a) **Award marks as indicated.**

Amira
Statement of affairs at 1 April 2020

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Land	31 670	-	31 670
Motor vehicle	40 000	19 520	20 480
	71 670	19 520	52 150 **(1)**
Current assets			
Inventory		21 500	
Trade receivables		34 500	
Other receivables		1 500	
Cash at bank		1 350	
			58 850
Total assets			111 000 **(1)**
Equity and liabilities			
Total equity			79 000 **(1of)**
Current liabilities			
Trade payables			32 000 **(1)**
Total equity and liabilities			111 000

(4)

Additional Guidance

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 4 of 8 · Question 2 part d.ii · 3 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part d.ii in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.**	(11)

Amira
Statement of Affairs at 31 March 2021

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Land	31 670	-	31 670
Motor vehicle	50 000	10 000 **(1)**	40 000 **(1of)**
	81 670	10 000	71 670 **(1of)**
Current assets			
Inventory		24 000	
Trade receivables	35 000 **(1)**		
Provision for irrecoverable debts	(1 750) **(1of)**	33 250	
			57 250 **(1of)**
Total assets			128 920
Equity and liabilities			
Total equity			56 270 **(1of)**
Non-current liabilities			
Loan			30 000 **(1)**
Current liabilities			
Loan			10 000 **(1)**
Trade payables			31 000
Bank overdraft			1 650 **(1)**
			42 650
Total liabilities			72 650
Total equity and liabilities			128 920 **(1of)**

Additional Guidance of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 4 of 8 · Question 2 part d.ii · 3 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part d.ii in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)</td><td>Award 1 mark for each correct figure plus 1 mark for all correct dates (any format) and details.

Equity Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>31 March</td><td>Drawings</td><td>30 000 (1)</td><td>1 April</td><td>Balance b/d</td><td>79 000 (1of)</td></tr>
<tr><td></td><td>Balance c/d</td><td>56 270</td><td>31 March</td><td>Income statement/ profit for the year</td><td>7 270 (1of)</td></tr>
<tr><td></td><td></td><td>86 270</td><td></td><td></td><td>86 270</td></tr>
<tr><td></td><td></td><td></td><td>1 April</td><td>Balance b/d</td><td>56 270 (1of)</td></tr>
</table></td><td>(5)</td></tr>
<tr><td colspan="3">Additional Guidance

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Accept split figures for drawings.</td></tr>
</table>

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 4 of 8 · Question 2 part d.ii · 3 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part d.ii in this mark scheme extract

Question Number	Answer	Mark
2(d)(i)	**Award 1 mark for identifying the concept plus 1 mark for development.** **Sample answers** **Prudence (1)** Introducing a provision for irrecoverable debts, ensures that her profit for the year/trade receivable are not overstated **(1)**. **OR** **Accruals/matching (1)** Introducing a provision for irrecoverable debts, ensures that the amount of sales which are unlikely to be paid are regarded as an expense in a year of sale **(1)**.	**(2)**

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 4 of 8 · Question 2 part d.ii · 3 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part d.ii in this mark scheme extract

Question Number	Answer	Mark
2(d)(ii)	**Award 1 mark for identifying the concept plus up to 2 marks for development.** **Sample answers** **Accruals/matching (1)** This method is used for motor vehicle that have lower maintenance cost / greater benefits achieved in the earlier years **(1)** which ensures that the revenue of the accounting period is matched against the cost of the same period **(1)**. **OR** **Consistency (1)** Once a method has been selected it must be used consistently from one accounting period to the next **(1)** to ensure comparability of financial results **(1)**.	**(3)**

(Total for Question 2 = 25 marks)

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 5 of 8 · Question 13 part a · 2 marks

2025 JUN · Paper 01 (regional R) · find part a in this mark scheme extract

13 (a)	**Award marks as indicated** Straight line **(1)** Reducing balance **/** Diminishing balance **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
13 (b)	**Award marks as indicated up to max 2 marks** Wear and tear / Usage **(1)** Passage of time **(1)** Obsolescence / Technological change / Economic factors **(1)** Depletion **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
13 (c)	**Award mark as indicated** Matching/accruals **(1)** **OR** Consistency **(1)** **OR** Prudence **(1)**	**(1)**

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 6 of 8 · Question 1 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 3 · find part d in this mark scheme extract

1(a) **Award marks as indicated.**

$248 780 **(5)W**

W

	$	
Customer receipts	234 800	**(1)**
Discount allowed	3 740	**(1)**
Closing balance	41 790	**(1)**
Opening balance	(31 550)	**(1)**
Credit sales	248 780	**(1of)**

Alternative presentation

Details	$	Details	$
Balance b/d	31 550 **(1)**	Cash book/ Discount allowed	3 740 **(1)**
Sales day book / Credit sales	248 780 **(1of)**	Cash book	234 800 **(1)**
		Balance c/d	41 790
	280 330		280 330
Balance b/d	41 790 **(1)**		

(5)

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 6 of 8 · Question 1 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 3 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award marks as indicated.**	**(15)**

Tim

Income statement for the year ended 30 April 2023

	$	$
Revenue		248 780 **(1of)**
Cost of sales		
Opening inventory	27 280	
Purchases	139 000 **(1)**	
Goods for own use	(3 950) **(1)**	
Carriage inwards	1 385 **(1)**	
	163 715	
Closing inventory	(20 130) **(1fb)**	(143 585) **(1)**
Gross profit		105 195 **(1of)**
Expenses		
Discount allowed	3 740 **(1)**	
General expenses	68 350 **(1)**	
Advertising	1 865 **(1)**	
Carriage outwards	1 090 **(1)**	
Wages	5 850 **(1)**	
Depreciation - equipment	17 160 **(1)**	98 055 **(1)**
Profit for the year		7 140 **(1of)**

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 6 of 8 · Question 1 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 3 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(c)	**Award 1 mark for identification of correct concept. Award up to 2 marks for development.** **Sample answer** The adjustment was made in compliance with the business entity concept **(1).** This states that the business is treated as separate from the owner **(1).** Therefore, this adjustment is necessary to avoid understating profits **(1).** **Accept any other appropriate responses.**	**(3)**

Question Number	Answer	Mark
1(d)	**Award 1 mark for identification and 1 mark for development.** **Sample answer** Once Tim has selected a method for depreciating a non-current asset, this should be used consistently **(1).** This will allow comparison of results from year to year **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 7 of 8 · Question 1 part c · 4 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 3 · find part c in this mark scheme extract

Number		
1(a)	**Award marks as indicated.**	(12)

Jay
Income statement for the year ended 31 December 2024

	$	$	
Revenue	143 200		
Returns inwards	(3 214)		
		139 986	**(1)**
Cost of sales			
Opening inventory	15 600		
Purchases	69 320		
Closing inventory	(12 900)		**(1fb)**
		(72 020)	**(1)**
Gross profit		67 966	**(1of)**
Add income			
Discount received		534	**(1)**
		68 500	
Less expenses			
Discount allowed	1 328		
General expenses	8 900		
Rent and rates	5 600		
Insurance	1 830		**(1)**
Irrecoverable debts	850		**(1)**
Machinery – depreciation charge	11 350		**(1)**
Machinery repairs	1 500		**(1)**
Wages and salaries	25 000		**(1)**
		(56 358)	**(1)**
Profit for the year		12 142	**(1of)**

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 7 of 8 · Question 1 part c · 4 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 3 · find part c in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)</td><td>Award marks as indicated.

$11 742 (4) W

<table>
<tr><th>W</th><th>$</th></tr>
<tr><td>Profit for the year</td><td>12 142 (1)</td></tr>
<tr><td>Machinery repairs</td><td>(500) (1)</td></tr>
<tr><td>Depreciation charge adjustment</td><td>100 (1)</td></tr>
<tr><td>Adjusted profit for the year</td><td>11 742 (1of)</td></tr>
</table></td><td>(4)</td></tr>
</table>

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(c)</td><td>Award 1 mark for identification of the consistency concept and up to 3 marks for valid development.

Sample answer

Jay should not proceed with this proposal as he will not be complying with the consistency concept (1) which states that once a particular method has been chosen the business must use this from one accounting period to the next (1).

This will enable the business to make meaningful comparisons year on year (1) and avoid distorting the profit for the year (1).

Accept any other appropriate responses</td><td>(4)</td></tr>
</table>

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 7 of 8 · Question 1 part c · 4 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 3 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(d)	**Award up to two marks for identification of each reason and up to two marks for development** **Award 1 mark for conclusion.** **Sample answer** It is important for Jay to differentiate between capital and revenue expenditure as the incorrect treatment of revenue expenditure would result in the profit for the year being either overstated or understated **(1).** Similarly, the incorrect treatment of capital expenditure would result in the non-current assets section of the statement of financial position being either overstated or understated **(1).** If, for example, Jay enters the purchase of a motor vehicle in the motor expenses account this would result in the profit for the year being understated **(1)** and the value of the motor vehicles in the statement of financial position being understated **(1).** Treating capital expenditure and revenue expenditure incorrectly would result in the financial statements not providing a true and fair view of the business **(1).** **Accept any other appropriate responses**	**(5)**

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 8 of 8 · Question 2 part c · 5 marks

2025 NOV · Paper 02 · extract 1 of 4 · find part c in this mark scheme extract

2(a) **Award marks as indicated.**

Taylor

Income statement for the year ended 31 March 2025

	$	$	
Gross profit		419 250	**(1)**
Profit on disposal (of motor vehicle)		800	**(1)**
Provision for irrecoverable debts		150	**(1)**
		420 200	
Expenses			
Lighting and heating	10 800		
Irrecoverable debts	250		
Sundry expenses	39 630		
Wages and salaries	252 000		**(1)**
Depreciation – fixtures and fittings	5 000		**(1)**
Depreciation – motor vehicles	2 560		**(1)**
		310 240	**(1)**
Profit for the year		109 960	**(1of)**

(8)

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 8 of 8 · Question 2 part c · 5 marks

2025 NOV · Paper 02 · extract 2 of 4 · find part c in this mark scheme extract

Question number	Answer	Mark

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 8 of 8 · Question 2 part c · 5 marks

2025 NOV · Paper 02 · extract 3 of 4 · find part c in this mark scheme extract

2(b) **Award marks as indicated.**

Taylor
Statement of financial position at 31 March 2025

Assets	**$**	**$**	**$**	
Non-current assets				
Land and buildings	250 000	-	250 000	
Fixtures and fittings	50 000	15 000	35 000	**(1)**
Motor vehicles	20 000	9 760	10 240	**(1)**
			295 240	**(1)**
Current assets				
Inventory		35 200		
Trade receivables		11 400		**(1)**
Cash in hand		1 120		
			47 720	**(1of)**
Total assets			342 960	**(1of)**
Equity and liabilities				
Equity				
Opening equity		250 000		
Profit for the year		109 960		**(2/1of)**
Drawings		(50 000)		
Total/closing equity			309 960	**(1of)**
Current liabilities				
Trade payables		9 800		
Other payables		21 000		**(1)**
Bank overdraft		2 200		**(1)**
			33 000	
Total equity and liabilities			342 960	**(1of)**

(12)

Question	Answer	Mark

Type MS · Choosing between straight line and reducing balance, and changing method

Answer 8 of 8 · Question 2 part c · 5 marks

2025 NOV · Paper 02 · extract 4 of 4 · find part c in this mark scheme extract

Number		
2(c)	**Award up to 2 marks for reference to each concept – (maximum 2 concepts). Award 1 mark for an overall conclusion.** **Sample answer** If Taylor changes his depreciation policy, he would not be complying with the **consistency concept (1)** which states that once a method has been selected this should be applied consistently year on year **(1).** As depreciation is an application of the **matching concept (1)** the method chosen should reflect the contribution the asset makes towards the revenue earned from that asset which may not be the case if he changes **(1)** As depreciation is an application of the **prudence concept (1)** the method chosen should reflect that profit should not be overstated which may not be the case if he changes **(1)** I would advise him not to change his depreciation policy **(1).** **Accept any other appropriate responses**	**(5)**

(Total for Question 2 = 25 marks)